Class 18

The American Dream and Mobility

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

The American Dream depends on both growth and opportunity: growth raises the ceiling for everyone, but whether children actually rise depends on education, labor markets, neighborhoods, families, social networks, housing, and institutions — everything Part III has studied.

Why it matters

- **Poll:** will you earn more than your parents did at your age? Raise your hand.
- For children born in 1940, the answer was yes about 90% of the time. For children born in the 1980s: about 50% — a coin flip.
- People argue about the American Dream partly because they mean different things:

Question	Concept
Will I earn more than my parents?	Absolute mobility
Will I move up the income ladder?	Relative mobility
Will I do better than others who started where I did?	Opportunity
Will my children have more choices than I did?	Intergenerational mobility

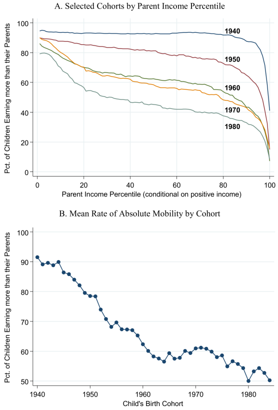
- The capstone question: America generated extraordinary growth — did it become opportunity for children to rise?

Today

1. The fading American Dream
2. Long-run mobility since 1850
3. The geography of opportunity
4. Is place causal? Moving to Opportunity
5. Social capital and economic connectedness
6. The Part III ladder, completed
7. Move people to opportunity, or bring opportunity to people?

The fading American Dream

Figure 1. Baseline Estimates of Absolute Mobility by Birth Cohort



Notes: This figure plots the fraction of children earning more than their parents ("absolute mobility") by parental income percentile for selected child birth cohorts (Panel A) and on average by child birth cohort (Panel B). Panel A includes only parents with positive income; within this group, parents' income percentiles are constructed based on their ranks in the distribution of parents' incomes within each child cohort. Panel B includes parents with 0

Source: Chetty, Grusky, Hell, Hendren, Manduca, and Narang (2017), Science, Figure 1.

Why absolute mobility fell

- Chetty et al.: absolute mobility fell from about **90%** for children born in 1940 to about **50%** for children born in the 1980s.
- Faster GDP growth alone would *not* restore 1940-style mobility; distributing growth as broadly as the 1940 cohort experienced would reverse more than **70%** of the decline.

Economy	Growth	Result
1940-style	High, broad-based	Most children out-earn parents
Unequal growth	Moderate, top-heavy	Fewer children out-earn parents
No growth	Low, equal	Little upward movement
Growth + opportunity	High, broad access	Strongest American Dream

- The course's whole logic in one chart: growth matters enormously, but distribution and opportunity decide whether growth *feels* like the American Dream.

Was old America a mobility machine?

- Song et al.: roughly 5 million linked records, 1850–2015. Occupational mobility *declined* over 150 years — rank-rank correlations rose from below 0.17 to as high as 0.32 — but much of the change came among Americans born before 1900.
- What could have raised frontier-era mobility: land abundance, westward migration, labor scarcity and high wages, expanding schools, open markets, self-selected immigrants, new industrial occupations.
- Complication: access to land, schools, credit, migration, and legal rights was never equal — which is where the previous classes come in.
- The frontier myth is too simple: the opportunity was real, but mobility has always been structured by family, race, place, education, and institutions.

The geography of opportunity

- Chetty, Hendren, Kline, and Saez (40 million children): the chance of rising from the bottom fifth to the top fifth is **4.4%** in Charlotte but **12.9%** in San Jose.
- The U.S. is not one land of opportunity — it is many local opportunity systems.

High-mobility places tend to have	Sound familiar?
Less residential segregation	Class 16
Less income inequality	Class 12
Better primary schools	Class 13
Greater social capital	Today
More stable families	Class 15

- These are correlations, not proven mechanisms — but the American Dream is built from institutions we have already studied.

The Opportunity Atlas: place matters

Source: Opportunity Insights, opportunityatlas.org. ***Placeholder — replace with a Salt Lake County screenshot.***

What the Opportunity Atlas measures

- Children's *adult* outcomes by the census tract where they grew up — covering nearly the entire U.S. population, by parental income, race, and gender.
- For children whose parents earn $27,000, mean adult household income varies with a standard deviation of $10,420 across tracts *within* counties.
- Only about half of that variation is explained by traditional indicators like poverty rates.

Traditional measure	Opportunity Atlas measure
Current poverty rate	Adult outcomes of kids who grew up there
Current school score	Long-run earnings and mobility
Neighborhood snapshot	Childhood exposure over time

Is place causal? Moving to Opportunity

- The Moving to Opportunity experiment offered housing vouchers to randomly selected families in high-poverty projects.
- Chetty, Hendren, and Katz: children who moved to lower-poverty neighborhoods **before age 13** had higher college attendance and adult earnings and less single parenthood; moves during adolescence helped less (likely disruption).
- Chetty and Hendren: neighborhoods work through **childhood exposure** — each additional year growing up in a better place matters.
- Key line: childhood is cumulative. Opportunity is not only where you are — it is how long you are exposed to it.

Social capital and economic connectedness

- Chetty et al. (*Nature*): **economic connectedness** — friendships across class lines — is strongly associated with upward mobility.
- If children with low-SES parents grew up with the cross-class connectedness of the average high-SES child, their adult incomes would rise by about **20%**.
- Mechanisms: information, referrals, norms, aspirations, trust — carried by churches, schools, teams, clubs, and neighborhoods.
- Utah angle (without overclaiming causality): families, congregations, and voluntary associations matter economically because they build social capital and cross-class ties.

The Part III ladder, completed

Rung	Class	Contribution to mobility
Own your labor	11 Free and coerced labor	Self-ownership
Bargain	12 Labor markets	Outside options and worker power
Learn	13 Education	Human capital
Arrive	14 Immigration	Talent from abroad
Choose	15 Women, work, and family	Talent already here
Belong	16 Race and migration	Barriers, exit, trust
Move	17 Cities and housing	Access to place
Rise	18 Mobility	Whether it all adds up

- Growth creates possibility; institutions determine access; opportunity determines mobility.

Move people to opportunity, or bring opportunity to people?

Move people to opportunity	Bring opportunity to people
Housing vouchers (MTO)	Better schools and safety
Build in high-opportunity places	Local jobs and entrepreneurship
Reduce exclusionary zoning	Broadband and public health
Transportation access	Social-capital institutions

- Both margins matter; the best mix depends on cost, scale, timing, and local institutions.
- The American Dream is not one national fact — it is a local institutional outcome.
- Next, Part IV: how America governs capitalism's consequences — starting with trade, tariffs, and globalization.

Discussion

Build an opportunity index: to predict whether a child from a low-income family in a given neighborhood will rise, what would you measure? Rank these: school quality, crime, commute time, two-parent families, cross-class friendships, segregation, college-going culture, housing costs. Then — which of these are individual choices, and which are institutions?

Read before next class

- Chetty, Grusky, Hell, Hendren, Manduca, and Narang (2017), “The Fading American Dream” (skim the figures).
- Chetty et al., “Social Capital I” (*Nature*) — skim the economic-connectedness results.
- Browse opportunityatlas.org: look up the neighborhood where you grew up.